

9708/m/j/17 v12

1-C

A , B and D : Consumer preferences, market prices, and seller preferences indicates resource allocation being done by the private sector, which would not result in the most equal distribution of goods.

C: Whereas, political decision represents government involvement, and since government operates with the objective of social welfare , the basis of rationing will be equal and fair, thus making it correct.

2-D:

- A- Competition is a feature of market economy, since in a market economy, numerous firms compete with each other to provide consumers with the goods and services they want.
- B- Profit motive is a feature of a market economy
- C- Innovation occurs in a private sector economy as a result of technological advancements , making it a feature of a market economy.
- D- In a planned economy , workers are provided with a greater degree of “job security” . And, since the government operates with the objective of “full employment”, workers feel a greater sense that their jobs are secure.

3-C:

We are interested in an option that results in a rise in quantity of peas and a fall in quantity of beans.

A: A machine that increases worker’s pea picking productivity will only increase the output of peas.

B: We are not informed about earlier distribution of picking hours of both types of crops , therefore we can not examine the impact of changes in output of peas and beans after changes in the work schedule.

C: Reduction of working hours to 8 hours per day would result in the output of both of them to decrease. But since, the pea picking productivity increases due to machines, pea output would increase even when hours are low. The net effect therefore will be a “rise in the output of peas” and “a fall in the output of beans”

D: A reduction in working hours to 8 days would result in less of both being produced.

4-A:

Liquidity represents how easily assets are convertible to cash.

Notes and coins represent “cash in hand”, which comes first in the order of liquidity.

Savings account represents “cash in bank”, which comes second in the order of liquidity

The third is: shares , as it will be less easily convertible to cash , which means that they will be less liquid, therefore securing the third rank

Since house will take a lot of time to be sold, this means that it will be least liquid.

5-B:

- A- Adding consumer surplus to total expenditure gives willingness
- B- Market demand is the horizontal summation of individual demand curves, this is why this will be correct
- C- Combining the price elasticity of individual demands gives the “elasticity of market”
- D- Multiplying price with qty gives total revenue

6-A:

In order to achieve the equilibrium, point from X1 to X2, there should be a rightward shift of the demand curve, that means the demand should increase, and there should be a rightward shift in the supply curve that means the supply should increase.

A-A fall in the price of raw material used in the manufacture causes the cost of production to reduce and the supply to increase. Whereas, a decrease in the price of complementary good, causes the demand to increase, since there is a negative relationship between the price of one good and the quantity of another in case of complementary goods.

B-An increase in incomes does cause a rise in demand, whereas, an increase in the level of indirect taxation causes the supply to decrease, thus making this option incorrect.

C-An increase in PED and a decrease in PES does not cause an increase in demand and supply. **Changes in elasticities bring about changes in slopes, instead causing a shift in the demand curve.**

D-A rise in population causes the demand to increase, whereas an increase in the price of labor causes the supply to decrease, thus making this incorrect.

7-A:

Complements have a negative value of cross elasticity of demand

- A- W and X are complements since the value of XED is -0.7. And, W and Z are also complements since the value of XED is -2.7, thus making this correct.
- B- W and Y are substitutes since the value of XED is +1.3. The same goes for X and Y which are substitutes due to the positive value of XED of +1.7
- C- Although W and Z are complements, X and Z are substitutes due to the positive value of XED of +2.6
- D- X and Y which are substitutes due to the positive value of XED of +1.7. X and Z are substitutes due to the positive value of XED of +2.6

8-C:

- A- Option A represents “perfectly elastic demand” since prices are unchanged.
- B- Option B represents “perfectly inelastic demand” as there is a positive relationship between price and Total Revenue, since upon a rise in prices, there is a rise in Total Revenue by the same percentage a rise in price was brought by, representing the fact that the percentage change in price is equal to the percentage change in Total Revenue.
- C- Option C represents unitary elastic demand as since a percentage change in price(for e-g, a rise in price by 25%) brings an equal percentage change in quantity demanded(as qty demanded falls by 25%), **Total revenue or total expenditure remains unchanged.**
- D- In case of elastic demand, there is a negative relationship between price and total expenditure ,as a fall in price when brings about an extension in qty demanded by a relatively higher percentage , results in a rise in “total expenditure”, thus making option D incorrect

9-D:

D - Because of an advanced production system , the responsiveness of the producer increases ,as a result of which the number of bottles produced can be increased or decreased easily in response to changes in demand. An increase in the responsiveness of the producer is reflective to “a more price-elastic supply”. This is why, this option is correct.

B- The responsiveness of a producer is increasing instead of decreasing, this is why, this option is incorrect.

A and C: This does not represent consumer’s responsiveness therefore the options cannot be related to price elasticity of demand.

ZARAK MUSHTAQ

10-C:

Supply function $\Rightarrow Q = 2P + 10$

$$\rightarrow Q = 2(15) + 10$$

$$\rightarrow Q = 30 + 10$$

$$\rightarrow Q = 40$$

At price level of 15, $Q_S = 40$

* Old price = 15

* Old quantity = 40

$$\rightarrow Q = 2(10) + 10$$

$$\rightarrow Q = 20 + 10$$

$$\rightarrow Q = 30$$

At price-level of 10, $Q_S = 30$

* New price = 10

* New quantity = 30

Step 2: Calculate PES

PES = % change in Q_S

% change in price

$$\rightarrow \frac{\text{New} - \text{Old}}{\text{Old}} \times 100$$

$$\rightarrow \frac{10 - 15}{15} \times 100$$

$$\rightarrow -33.33\%$$

$\hookrightarrow$ A fall in price from 15 to 10

$$\Rightarrow \frac{\text{New} - \text{Old}}{\text{Old}} \times 100$$

$$\frac{30 - 40}{40} \times 100$$

$$\frac{-10}{40} \times 100$$

$$\rightarrow -25\%$$

$$\text{PES} = \frac{-25\%}{-33.33\%} \Rightarrow 0.75 \Rightarrow \frac{3}{4} \checkmark$$

$$\% \text{ change in } Q_S \Rightarrow \frac{40 - 30}{30} \times 100 \Rightarrow \frac{1}{3}$$

$$\% \text{ change in price} \Rightarrow \frac{15 - 10}{10} \times 100 \Rightarrow \frac{1}{2}$$

$$\hookrightarrow \text{PES} \Rightarrow \frac{1/3}{1/2} \Rightarrow \frac{2}{3} \checkmark$$

$\hookrightarrow$ A rise in price from 10 to 15.

* PES lies within the range $\frac{2}{3}$ to $\frac{3}{4}$ (Option C)

11-B:

ZARAK MUSHTAQ

First statement- Here you can see that first statement is correct, since car and bus are substitutes of each other, where an increase in price of one product may increase the demand for other product. If government increases car parking charges, this may cause consumers to switch to buses, thereby resulting in more demand for bus travel.

Second statement- On the other hand, other official said that an increase in the frequency of bus will not cause the demand for bus to rise, which is incorrect, since increasing the frequency of buses will increase demand, as first and foremost, riders want buses to arrive more frequently which will be possible **when there is more availability of bus services**. Additionally, this will prevent problems of road blockages and traffic congestion, and the idea of reaching to their destinations on time will increase the demand for bus travel.

Therefore, option B that regards statement A as correct, and statement B as incorrect is right.

12-B:

We are interested in an option that will prevent price mechanism from functioning properly.

- A- When prices are allowed to change, that is fall, this represents that **price mechanism is allowed to function**
- B- However, price controls that include minimum prices or maximum prices , which are alternative to price mechanism will prevent price control from working effectively. This is why, this becomes correct.
- C- Rising profits represents market economy since profit motive is a feature of a market economy .**It will lead to the rationing function of price mechanism to be carried out since when producers provide those who are willing and able to pay higher prices, they will be able to satisfy their objective of profit maximization.**
- D- Again, producers operating with the objective of self-interest indicates market economy. **It will lead to the rationing function of price mechanism to be carried out since because of “ self-interest”, producers provide only those who are willing and able to pay higher prices**

13-D:

Producer surplus is the difference between the minimum price a producer is willing to accept and the price that he charges, that is , the market price

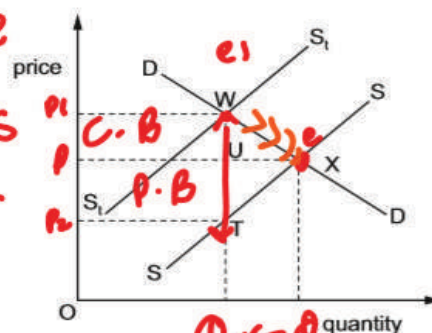
This is shown through the area below the price level and above the supply curve, which in this case is “ PXB”, **thus making option D correct.**

- A- AXB is the total area of welfare that includes both: consumer surplus and producer surplus
- B- AXMO is the area of total willingness
- C- AXP represents consumer surplus

14-B:

14 A specific tax is placed on the sale of bottles of lemonade. In the diagram, SS is the supply curve before imposition of the tax and S_1S_1 is the supply curve after tax.

vertical distance between the two supply curves is per-unit tax.



Which distance represents the specific tax on each bottle?

A UT
producer burden

B WT

per unit tax

C WU

consumer burden

D WX

movement along the demand curve

15-C:

By providing subsidies to consumers through direct payments, the incomes of consumers in hand increase, which results in a rightward shift in the demand curve from D_1 to D_2 .

Production subsidies will decrease the costs of production of production, bringing about an increase in supply, which will lead to a rightward shift in the supply curve from S_1 to S_2 . Therefore, a new equilibrium will be achieved from "X to C"

16-A:

A – A transfer payment is a payment made without goods and services being received in exchange. An annual allowance paid to the grand-child is not paid in expectation of any goods or services in return, thus making it a transfer payment.

B- A one off bonus paid to employees for a contribution to firms' profits is in return for an employee's exceptional services

C – A payment made to a child manager is again in return of services

D – The monthly salary of an employee is also provided for his service, and contribution in output.

17-B;

- A- A charity hospital funded by donations of “**private individuals**” may represent a not for profit organization, and this is not an example of “direct provision by the government”
- B- A government library that provides services to rural areas is an example of direct provision, thus making this correct.
- C- A pharmacy in a local shopping center that provides treatment to public is not an example of direct provision
- D- Again, this school is a private school which means that this is not an example of : direct provision.

18-A:

Supporters of a nationalized public service will talk about disadvantages of privatization

- A- This is correct as after privatization, only a few destinations that are profitable will be served, as a result of which, output will reduce and in turn prices will rise.
- B- This is incorrect as private sector firms are likely to charge higher prices because of the profit motive.
- C- This is wrong as there will not be more frequent services to all destinations as only the profitable ones will be served
- D- When the industry is privatized, the level of employment will reduce , which means that only the efficient workers will be retained ,and the inefficient ones will be laid off.

19-D:

A: An increase in import expenditures a fall in domestic consumption ,which results in a fall in Aggregate demand.

B: An increase in tax rates for example: income tax rates will reduce the disposable incomes of individuals, which will lead to a fall in consumption expenditure and in turn a fall in Aggregate demand.

C: An increase in Balance of trade deficit represents net leakages from the circular flow, resulting in a fall in Aggregate demand.

D: An increase in money supply will reduce the interest rates, as a result of which, the costs of borrowing reduce, resulting in a rise in investment expenditure and in turn a rise in Aggregate demand , thus making this correct.

20-A:

A: Anyone on fixed incomes experiences a rise in real income ,this is because even if the nominal income remains unchanged ,because of deflation that represents a sustained fall in the general price level of an economy, the real incomes may increase. This is why this will be correct. This is shown below:

fixed income earners ; Real income = % increase in nominal income - inflation %

$$* + 0\% - (-2\%)$$

because of deflation

* This means real incomes rise by 2%

B: Higher indexation of excise duties in a period of inflation would raise receipts, this is because the prices of goods and services rise, and since indirect taxes are imposed as a percentage on the price, the tax earned by a government will be higher.

C: Producers may not prefer deflation to inflation in a period of recession in the economy, as in such a situation whereby there is a downward multiplier effect experienced in the economy, they may deem inflation to be better.

D: Index linked savings are preferred in a period of inflation rather than deflation, this is because in case of index-linked savings, the interest rate increases annually to match with the rate of inflation, leading to the real value of savings to be protected, which will prevent money from ceasing to perform as a 'store of value' in a period of inflation.

21-B:

Exchange Rate should fall:

A depreciation in the exchange rate, may lead to export-oriented goods appearing relatively cheaper in the international market, and this global competitiveness may bring about an extension in the international quantity demanded of exported goods, and that too by a relatively higher percentage, when the demand for them is elastic, which leads to an increase in export-revenues, relative to import expenditures which fall, because now imported goods appear relatively expensive, which results in a contraction in qty demanded of imported goods. This leads to a Balance of Trade Surplus, and these net-injections in to the circular flow, bring about an increase in Aggregate demand. This may bring demand pull inflation when Aggregate demand outpaces Aggregate Supply.

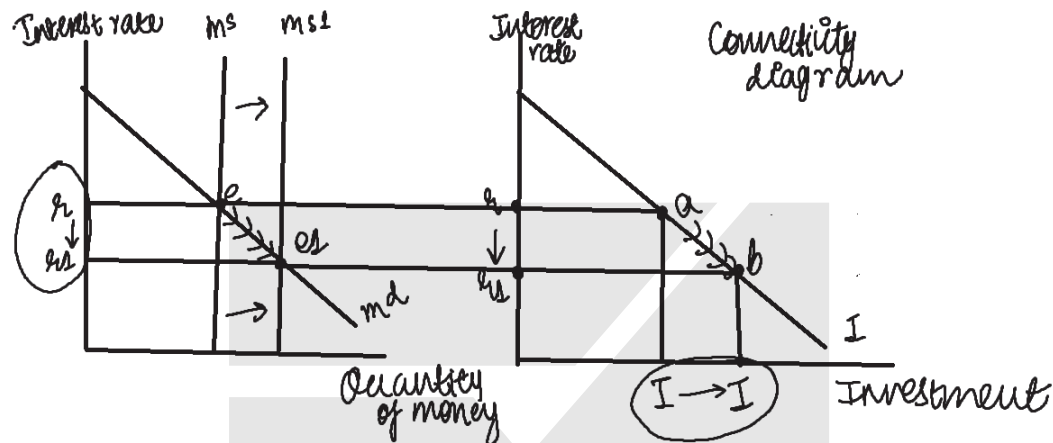
Direct taxes should fall:

A fall in direct taxes will increase the disposable income of consumers, which represents the actual purchasing power, as this is the income which can be spent or saved, leading to an increase in purchasing power and in turn consumer confidence, bringing about an increase in consumption expenditure by individuals, which causes the Aggregate demand to increase. This may bring demand pull inflation when Aggregate demand outpaces Aggregate Supply.

Money supply should rise :

An increase in money supply from "ms to ms1" (through buying back bonds previously issued by the government, will increase the quantity of money in circulation from Q to Q1, which will lead to a surplus of money being available with the bank, as a result of which the interest rate may be lowered from 'r to

r_1' , in order to increase bank-lending. Because of a decrease in interest rates, the cost of borrowing may decrease, as a result of which, firms may increase borrowing to finance capital expenditures and expansion, increasing investment expenditure on production from I to I_1 (as can be seen in the connectivity diagram in Fig 1), leading to an increase in Aggregate demand, because of injections in the circular flow. . This may bring demand pull inflation when Aggregate demand outpaces Aggregate Supply.



22-C;

Balance of trade of Singapore with New Zealand:-

Exports revenues obtained from exports to New Zealand – Import expenditures arising from imports from New Zealand:

508m\$- 331m\$

→ \$177 m (Balance of trade surplus)

Balance of trade of New Zealand with Singapore:-

Exports to Singapore (this will be imports of Singapore) – Imports from Singapore (this will be exports of Singapore)

403\$-618 \$

→ \$- 215 m(Balance of trade deficit)

A- This is incorrect as New Zealand did not gain more than Singapore from the trade agreement since it is in deficit

B- This is incorrect as well since New Zealand is still in deficit.

C- This is correct since Singapore has a trade surplus with New Zealand in 2001 as shown above.

D- 618-----508

1-----x

x=508/618

\$1NZ=\$S 0.822

This calculation explains why key D will be incorrect.

23-C:

Countries	Proportion of trade performed	Operator	Weights	Trade-weighted index
Country Y	60%	*	120% (100+20)	0.72
Country Z	40%	*	90%(100-10)	0.36

Total = 0.72+0.36 i.e. 1.08

$$1.08 \times 100 = 108.$$

This is why, option C will be correct

24-C:

- A- A depreciation of the exchange rate is an effect rather than being a cause.
- B- A decrease in interest rates of the UK will reduce the incentive to invest in the economy, as a result of which, hot money inflows will be discouraged, and foreign investors will call back their investment, which will lead to a **fall in the demand for currency**. And since, domestic residents will be discouraged from investing in the economy, they will take their money outside for better returns, **leading to an increase in supply of the currency**. This is why, option B will be incorrect
- C- An increase in the price levels of other countries will make exported goods of the domestic economy more competitive, as a result of which, there will be a rise in the demand of exported goods, which results in a rise in export revenues and in turn a **rise in the demand for the currency**. When imported goods now become relatively uncompetitive, this will result in a fall in demand of imported goods, as a result of which import expenditures will fall, subsequently leading to a **fall in the supply of currency, which makes this option correct**
- D- An increase in the level of UK import tariffs will result in a fall in imports and in turn a fall in supply of the currency, but this becomes incorrect as it does not bring in any demand effect.

25-B:

* In the base year, TOT is 100, this means the index of export prices and import prices is 100

* Now export prices become 120 (after a rise by 20%)

* Terms of trade = $\frac{\text{New-old}}{\text{old}} \times 100$

* Terms of trade = $\frac{120-100}{100} \times 100 = 20\%$

* Terms of trade = $\frac{120}{150} \times 100 = 80$

* Terms of trade = $\frac{120}{150} \times 100 = 80$

26-B

26 The table shows the ability of two countries, P and Q, to produce two goods, Y and Z.

	production of good Y per person	production of good Z per person
country P	1800	2800
country Q	1500	2000

Which statement is correct?

- A P has an absolute advantage in Y and Q has an absolute advantage in Z.
- ☒ B P has an absolute advantage in Z and Q has a comparative advantage in Y.
- C P has a comparative advantage in Y and Q has a comparative advantage in Z.
- D P has a comparative advantage in Z and Q has an absolute advantage in Y.

country Q
 * Q has a comparative advantage in Y because of a lower opp cost ratio.

$$\begin{aligned} &Y : Z \\ &1500 : 2000 \\ &1Y : 2000/1500 \\ &1Y : 1.33Z \end{aligned}$$

country P produces a greater volume of both goods. This means that it has an absolute advantage in good Y and good Z.

country P Y : Z
 1800 : 2800
 1 : 2800/1800 Z
 1 : 1.55Z

* P has a comparative advantage in good Z

27- D:

Some tools of protectionism include; tariff, quota, embargo and devaluation.

A: Imposition of controls on capital outflows is not a protectionist policy

B: Prevention from devaluation represents "protectionism not being brought in effect"

C: Pollution charges being imposed is a domestic concern, thus making this incorrect

D: Subsidies paid to domestic producers of a tradeable good is a tool of protectionism, since it leads to imports being substituted with relatively cheaper domestically produced goods, thus making this correct.

28-D:

Because of a rise in income tax rates, the disposable incomes will reduce, which will result in a fall in consumption, and subsequently a decrease in Aggregate demand, leading to a leftward shift in the Aggregate demand curve from AD1 to AD2.

This is why, a new equilibrium will be achieved from X to D, making this correct

29-A:

Expenditure dampening policy aims to reduce the expenditure of domestic residents on imported goods. This includes fiscal policy and monetary policy.

- A- An increase in income tax rates will decrease the disposable incomes of individuals, subsequently leading to a fall in consumption expenditure, and since the expenditure of

domestic residents on imported goods will reduce as well, this would lead to a fall in import expenditures, making this correct.

- B- An increase in the level of import tariffs represents an expenditure switching policy
- C- A revaluation of the exchange rate, after having made imported goods relatively cheaper would result in an extension in qty demanded of imported goods by a relatively higher percentage, when the demand for them is elastic, contributing to a rise in import expenditures, which makes it incorrect.
- D- Import quotas is an expenditure switching policy

30-D:

We are interested in an option that brings a deflationary effect i.e. a fall in Aggregate demand.

- A- A 10% cut in the standard rate of income tax would after having increased the disposable incomes of individuals result in a rise in consumption expenditure, because of which, there will be a rise in Aggregate demand. Similarly, a **devaluation** of the exchange rate, may lead to export-oriented goods appearing relatively cheaper in the international market, and this global competitiveness may bring about an extension in the international quantity demanded of exported goods, and that too by a relatively higher percentage, when the demand for them is elastic, which leads to an increase in export-revenues, relative to import expenditures which fall because now imported goods appear relatively expensive, which results in a contraction in qty demanded of imported goods. This leads to a Balance of Trade Surplus, and these net-injections in to the circular flow, bring about an increase in Aggregate demand. The net effect will be "inflationary" thus making this incorrect.
- B- As mentioned above, a cut in the rate of income tax would result in a rise in Aggregate demand. But, a revaluation can actually lead to deflationary pressures in an economy, as imports become cheaper, leading to an extension in qty demanded of imports, leading to a rise in import expenditures relative to export revenues which fall since export oriented goods becoming relatively expensive, which means that there will be a contraction in qty demanded of exports, therefore resulting in a Balance of Trade deficit, which since represents net-leakages from the circular flow, resulting in a fall in Aggregate demand.
- C- A rise in income tax will decrease disposable incomes, and in turn consumption expenditure, resulting in a fall in Aggregate demand. But on the contrary, as mentioned in option A that devaluation stimulates a rise in Aggregate demand having an inflationary effect.
- D- As mentioned in key C that a rise in income tax will result in a fall in Aggregate demand, and it is stated in option B that a revaluation also brings about a fall in Aggregate demand, therefore the net impact will be deflationary, thus making this correct.